

# STATE OF NEW YORK

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1169--A

2025-2026 Regular Sessions

## IN SENATE

January 8, 2025

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Introduced by Sens. GONZALEZ, BAILEY, BRISPORT, BYNOE, CLEARE, FERNANDEZ, HINCHEY, JACKSON, LIU, MAY, PERSAUD, RIVERA, SALAZAR, SANDERS, WEBB -- read twice and ordered printed, and when printed to be committed to the Committee on Internet and Technology -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the civil rights law and the executive law, in relation to the use of artificial intelligence systems

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. This act shall be known and may be cited as the "New York  
2 artificial intelligence act (New York AI act)".

3 § 2. Legislative findings and intent. The legislature finds and  
4 declares the following:

5 (a) A revolution in artificial intelligence (AI) has advanced to the  
6 point that comprehensive regulations must be enacted to protect New  
7 Yorkers.

8 (b) Artificial intelligence is already an integral part of New York-  
9 ers' daily lives. In the private sector, AI is currently in use in areas  
10 such as education, health care, employment, insurance, credit scoring,  
11 public safety, retail, banking and financial services, media, and more  
12 with little transparency or oversight. A growing body of research shows  
13 that AI systems that are deployed without adequate testing, sufficient  
14 oversight and robust guardrails can harm consumers and deny historically  
15 disadvantaged groups the full measure of their civil rights and liber-  
16 ties, thereby further entrenching inequalities. The legislature must act  
17 to ensure that all uses of AI, especially those that affect important  
18 life chances, are free from harmful biases, protect our privacy, and  
19 work for the public good.

20 (c) Safe innovation must remain a priority for the state. New York  
21 state is home to thousands of technology start-ups, many of which exper-

EXPLANATION--Matter in italics (underscored) is new; matter in brackets  
[-] is old law to be omitted.

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1 iment with new applications of AI and which have the potential to find  
2 new ways to employ technology at the service of New Yorkers. The goal of  
3 the legislature is to encourage safe innovation in the AI sector by  
4 providing clear guidance for AI development, testing, and validation  
5 both before a product is launched and throughout the product's life  
6 cycle.

7 (d) New York must establish that the burden of responsibility of prov-  
8 ing that AI products do not cause harm to New Yorkers will be shouldered  
9 by the developers and deployers of AI. While government and civil socie-  
10 ty must act to audit and enforce human rights laws around the use of AI,  
11 the companies employing and profiting from the use of AI must lead in  
12 ensuring that their products are free from algorithmic discrimination.

13 (e) Close collaboration and communication between New York state and  
14 industry partners is key to ensuring that innovation can occur with  
15 safeguards to protect all New Yorkers. This legislation will ensure that  
16 lines of communication exist and that there is clear statutory authority  
17 to investigate and prosecute entities that break the law.

18 (f) As new forms of AI are developed beyond what is currently techno-  
19 logically feasible, the goal of the legislature is to use this section  
20 as a guiding light for future regulations.

21 (g) Lastly, it is in the interest of all New Yorkers that certain uses  
22 of AI that infringe on fundamental rights, deepen structural inequality,  
23 or that result in unequal access to services shall be banned.

24 § 3. The civil rights law is amended by adding a new article 8-A to  
25 read as follows:

#### 26 ARTICLE 8-A

#### 27 PROTECTIONS REGARDING USE OF ARTIFICIAL INTELLIGENCE

#### 28 Section 85. Definitions.

#### 29 86. Unlawful discriminatory practices.

#### 30 86-a. Deployer and developer obligations.

#### 31 86-b. Whistleblower protections.

#### 32 87. Audits.

#### 33 88. High-risk AI system reporting requirements.

#### 34 89. Risk management policy and program.

#### 35 89-a. Social scoring AI systems prohibited.

#### 36 89-b. Developer safe harbor.

#### 37 89-c. Enforcement.

#### 38 89-d. Severability.

39 § 85. Definitions. The following terms shall have the following mean-  
40 ings:

41 1. "Algorithmic discrimination" means any condition in which the use  
42 of an AI system contributes to unjustified differential treatment or  
43 impacts, disfavoring people based on their actual or perceived age,  
44 race, ethnicity, creed, religion, color, national origin, citizenship or  
45 immigration status, sexual orientation, gender identity, gender  
46 expression, military status, sex, disability, predisposing genetic char-  
47 acteristics, familial status, marital status, pregnancy, pregnancy  
48 outcomes, disability, height, weight, reproductive health care or auton-  
49 omy, status as a victim of domestic violence or other classification  
50 protected under state or federal laws. Algorithmic discrimination shall  
51 not include:

52 (a) a developer's or deployer's testing of their own AI system to  
53 identify, mitigate, and prevent discriminatory bias;

54 (b) expanding an applicant, customer, or participant pool to increase  
55 diversity or redress historical discrimination; or

1 (c) an act or omission by or on behalf of a private club or other  
2 establishment that is not in fact open to the public, as set forth in  
3 Title II of the federal Civil Rights Act of 1964, 42 U.S.C. section  
4 2000a(e), as amended.

5 2. "Artificial intelligence system" or "AI system" means a machine-  
6 based system or combination of systems, that for explicit and implicit  
7 objectives, infers, from the input it receives, how to generate outputs  
8 such as predictions, content, recommendations, or decisions that can  
9 influence physical or virtual environments. Artificial intelligence  
10 system shall not include:

11 (a) any system that (i) is used by a business entity solely for inter-  
12 nal purposes and (ii) is not used as a substantial factor in a conse-  
13 quential decision; or

14 (b) any software used primarily for basic computerized processes, such  
15 as anti-malware, anti-virus, auto-correct functions, calculators, data-  
16 bases, data storage, electronic communications, firewall, internet  
17 domain registration, internet website loading, networking, spam and  
18 robocall-filtering, spellcheck tools, spreadsheets, web caching, web  
19 hosting, or any tool that relates only to internal management affairs  
20 such as ordering office supplies or processing payments, and that do not  
21 materially affect the rights, liberties, benefits, safety or welfare of  
22 any individual within the state.

23 3. "Auditor" shall refer to an independent entity including but not  
24 limited to an individual, non-profit, firm, corporation, partnership,  
25 cooperative, association, academic institution, or group affiliated with  
26 an academic institution, commissioned to perform an audit.

27 4. "Consequential decision" means a decision or judgment that has a  
28 material, legal or similarly significant effect on an individual's  
29 access to, or the cost, terms, or availability of, any of the following:

30 (a) Employment, workers' management, or self-employment, including,  
31 but not limited to, all of the following:

32 (i) Pay or promotion; and

33 (ii) Hiring or termination.

34 (b) Education and vocational training, including, but not limited to,  
35 all of the following:

36 (i) Accreditation;

37 (ii) Certification;

38 (iii) Admissions; and

39 (iv) Financial aid or scholarships.

40 (c) Housing or lodging, including rental or short-term housing or  
41 lodging.

42 (d) Family planning, including adoption services or reproductive  
43 services, as well as assessments related to child protective services.

44 (e) Health care or health insurance, including mental health care,  
45 dental, or vision.

46 (f) Financial services, including a financial service provided by a  
47 mortgage company, mortgage broker, or creditor.

48 (g) Law enforcement activities, including the allocation of law  
49 enforcement personnel or assets, the enforcement of laws, maintaining  
50 public order, or managing public safety.

51 (h) Legal services.

52 5. "Deployer" means any person, partnership, association or corpo-  
53 ration that offers or uses an AI system for commerce in the state of New  
54 York, or provides an AI system for use by the general public in the  
55 state of New York. A deployer shall not include any natural person

1 using an AI system for personal use. A developer may also be considered  
2 a deployer if its actions satisfy this definition.

3 6. "Developer" means a person, partnership, or corporation that  
4 designs, codes, or produces an AI system, or creates a substantial  
5 change with respect to an AI system, whether for its own use in the  
6 state of New York or for use by a third party in the state of New York.  
7 A deployer may also be considered a developer if its actions satisfy  
8 this definition.

9 7. "Employee" means an individual who performs services for and under  
10 the control and direction of an employer for wages or other remunera-  
11 tion, including former employees, or natural persons employed as inde-  
12 pendent contractors to carry out work in furtherance of an employer's  
13 business enterprise who are not themselves employers.

14 8. "Employer" means any person, firm, partnership, institution, corpo-  
15 ration, or association that employs one or more employees.

16 9. "End user" means any individual or group of individuals that:

17 (a) is the subject of a consequential decision made entirely by or  
18 with the assistance of an AI system; or

19 (b) interacts, directly or indirectly, with the relevant AI system on  
20 behalf of an individual or group that is the subject of a consequential  
21 decision made entirely by or with the assistance of an AI system.

22 10. "High-risk AI system" means any AI system that, when deployed:  
23 (a) is a substantial factor in making a consequential decision; or (b)  
24 will have a material impact on the statutory or constitutional rights,  
25 civil liberties, safety, or welfare of an individual in the state.

26 11. "Risk management policy and program" means the risk management  
27 policy and program created pursuant to section eighty-nine of this arti-  
28 cle.

29 12. "Substantial change" means any new version, new release, or any  
30 other update to an AI system that results in significant changes to such  
31 AI system's appropriate use cases, key functionality, or expected  
32 outcomes.

33 13. "Substantial factor" means a factor that is (a) material in making  
34 a consequential decision, or (b) is capable of altering the outcome of a  
35 consequential decision.

36 § 86. Unlawful discriminatory practices. It shall be an unlawful  
37 discriminatory practice for a developer or deployer to fail to comply  
38 with the duties under this section.

39 1. A developer or deployer shall take reasonable care to prevent fore-  
40 seeable risk of algorithmic discrimination that is a consequence of the  
41 use, sale, or sharing of a high-risk AI system or a product featuring a  
42 high-risk AI system.

43 2. Any developer or deployer that uses, sells, or shares a high-risk  
44 AI system shall have completed an independent audit, pursuant to section  
45 eighty-seven of this article, confirming that the developer or deployer  
46 has taken reasonable care to prevent foreseeable risk of algorithmic  
47 discrimination with respect to such high-risk AI system.

48 § 86-a. Deployer and developer obligations. 1. (a) Any deployer that  
49 employs a high-risk AI system for a consequential decision shall comply  
50 with the following requirements; provided, however, that where there is  
51 an urgent necessity for a decision to be made to confer a benefit to the  
52 end user, including, but not limited to, social benefits, housing  
53 access, or dispensing of emergency funds, and compliance with this  
54 section would cause imminent detriment to the welfare of the end user,  
55 such obligation shall be considered waived; provided further, that noth-

ing in this section shall be construed to waive a natural person's option to request human review of the decision:

(i) inform the end user at least five business days prior to the use of such system for the making of a consequential decision in clear, conspicuous, and consumer-friendly terms, made available in each of the languages in which the company offers its end services, that AI systems will be used to make a decision or to assist in making a decision; and

(ii) allow sufficient time and opportunity in a clear, conspicuous, and consumer-friendly manner for the consumer to opt-out of the automated consequential decision process and for the decision to be made by a human representative. A consumer may not be punished or face any other adverse action for opting out of a decision by an AI system and the deployer shall render a decision to the consumer within forty-five days.

(b) If a deployer employs a high-risk AI system for a consequential decision to determine whether to or on what terms to confer a benefit on an end user, the deployer shall offer the end user the option to waive their right to advance notice of five business days under this subdivision.

(c) If the end user clearly and affirmatively waives their right to five business days' notice, the deployer shall then inform the end user as early as practicable before the making of the consequential decision in clear, conspicuous, and consumer-friendly terms, made available in each of the languages in which the company offers its end services, that AI systems will be used to make a decision or to assist in making a decision. The deployer shall allow sufficient time and opportunity in a clear, conspicuous, and consumer-friendly manner for the consumer to opt-out of the automated process and for the decision to be made by a human representative. A consumer may not be punished or face any other adverse action for opting out of a decision by an AI system and the deployer shall render a decision to the consumer within forty-five days.

(d) An end user shall be entitled to no more than one opt-out with respect to the same consequential decision within a six-month period.

2. (a) Any deployer that employs a high-risk AI system for a consequential decision shall inform the end user within five days in a clear, conspicuous and consumer-friendly manner if a high-risk AI system has been used to make a consequential decision. The deployer shall then provide and explain a process for the end user to appeal the decision, which shall at minimum allow the end user to (i) formally contest the decision, (ii) provide information to support their position, and (iii) obtain meaningful human review of the decision. A deployer shall respond to an end user's appeal within forty-five days of receipt of the appeal. That period may be extended once by forty-five additional days where reasonably necessary, taking into account the complexity and number of appeals. The deployer shall inform the end user of any such extension within forty-five days of receipt of the appeal, together with the reasons for the delay.

(b) An end user shall be entitled to no more than one appeal with respect to the same consequential decision in a six-month period.

3. The deployer or developer of a high-risk AI system is legally responsible for quality and accuracy of all consequential decisions made, including any bias or algorithmic discrimination resulting from the operation of the AI system on their behalf.

4. The rights and obligations under this section may not be waived by any person, partnership, association or corporation.

5. With respect to a single consequential decision, an end user may not exercise both its right to opt-out of a consequential decision under



subdivision one of this section and its right to appeal a consequential decision under subdivision two of this section.

§ 86-b. Whistleblower protections. 1. Developers and/or deployers of high-risk AI systems shall not:

(a) prevent any of their employees from disclosing information to the attorney general, including through terms and conditions of employment or seeking to enforce terms and conditions of employment, if the employee has reasonable cause to believe the information indicates a violation of this article; or

(b) retaliate against an employee for disclosing information to the attorney general pursuant to this section.

2. An employee harmed by a violation of this article may petition a court for appropriate relief as provided in subdivision five of section seven hundred forty of the labor law.

3. Developers and deployers of high-risk AI systems shall provide a clear notice to all of their employees working on such AI systems of their rights and responsibilities under this article, including the right of employees of contractors and subcontractors to use the developer's internal process for making protected disclosures pursuant to subdivision four of this section. A developer or deployer is presumed to be in compliance with the requirements of this subdivision if the developer or deployer does either of the following:

(a) at all times post and display within all workplaces maintained by the developer or deployer a notice to all employees of their rights and responsibilities under this article, ensure that all new employees receive equivalent notice, and ensure that employees who work remotely periodically receive an equivalent notice; or

(b) no less frequently than once every year, provide written notice to all employees of their rights and responsibilities under this article and ensure that the notice is received and acknowledged by all of those employees.

4. Each developer and deployer shall provide a reasonable internal process through which an employee may anonymously disclose information to the developer or deployer if the employee believes in good faith that the information indicates that the developer or deployer has violated any provision of this article or any other law, or has made false or materially misleading statements related to its risk management policy and program, or failed to disclose known risks to employees, including, at a minimum, a monthly update to the person who made the disclosure regarding the status of the developer's or deployer's investigation of the disclosure and the actions taken by the developer or deployer in response to the disclosure.

5. This section does not limit protections provided to employees under section seven hundred forty of the labor law.

§ 87. Audits. 1. Developers of high-risk AI systems shall cause to be conducted third-party audits in accordance with this section.

(a) A developer of a high-risk AI system shall complete at least:

(i) a first audit within six months after completion of development of the high-risk AI system and the initial offering of the high-risk AI system to a deployer for deployment or, if the developer is first deployer to deploy the high-risk AI system, after initial deployment; and

(ii) one audit every one year following the submission of the first audit.

(b) A developer audit under this section shall include:

1 (i) an evaluation and determination of whether the developer has taken  
2 reasonable care to prevent foreseeable risk of algorithmic discrimi-  
3 nation with respect to such high-risk AI system; and

4 (ii) an evaluation of the developer's documented risk management poli-  
5 cy and program required under section eighty-nine of this article for  
6 conformity with subdivision one of such section eighty-nine.

7 2. Deployers of high-risk AI systems shall cause to be conducted  
8 third-party audits in accordance with this section.

9 (a) A deployer of a high-risk AI system shall complete at least:

10 (i) a first audit within six months after initial deployment;

11 (ii) a second audit within one year following the submission of the  
12 first audit; and

13 (iii) one audit every two years following the submission of the second  
14 audit.

15 (b) A deployer audit under this section shall include:

16 (i) an evaluation and determination of whether the deployer has taken  
17 reasonable care to prevent foreseeable risk of algorithmic discrimi-  
18 nation with respect to such high-risk AI system;

19 (ii) an evaluation of system accuracy and reliability with respect to  
20 such high-risk AI system's deployer-intended and actual use cases; and

21 (iii) an evaluation of the deployer's documented risk management poli-  
22 cy and program required under section eighty-nine of this article for  
23 conformity with subdivision one of such section eighty-nine.

24 3. A deployer or developer may hire more than one auditor to fulfill  
25 the requirements of this section.

26 4. At the attorney general's discretion, the attorney general may:

27 (a) promulgate further rules as necessary to ensure that audits under  
28 this section assess whether or not AI systems produce algorithmic  
29 discrimination and otherwise comply with the provisions of this article;  
30 and

31 (b) recommend an updated AI system auditing framework to the legisla-  
32 ture, where such recommendations are based on a standard or framework  
33 (i) designed to evaluate the risks of AI systems, and (ii) that is  
34 nationally or internationally recognized and consensus-driven, including  
35 but not limited to a relevant framework or standard created by the  
36 International Standards Organization.

37 5. The independent auditor shall have complete and unredacted copies  
38 of all reports previously filed by the deployer or developer under  
39 section eighty-eight of this article.

40 6. An audit conducted under this section may be completed in part, but  
41 shall not be completed entirely, with the assistance of an AI system.

42 (a) Acceptable auditor uses of an AI system include, but are not  
43 limited to:

44 (i) use of an audited high-risk AI system in a controlled environment  
45 without impacts on end users for system testing purposes; or

46 (ii) detecting patterns in the behavior of an audited AI system.

47 (b) An auditor shall not:

48 (i) use a different high-risk AI system that is not the subject of an  
49 audit to complete an audit; or

50 (ii) use an AI system to draft an audit under this section without  
51 meaningful human review and oversight.

52 7. (a) An auditor shall be an independent entity including but not  
53 limited to an individual, non-profit, firm, corporation, partnership,  
54 cooperative, or association.

55 (b) For the purposes of this article, no auditor may be commissioned  
56 by a developer or deployer of a high-risk AI system if such entity:

(i) has already been commissioned to provide any auditing or non-auditing service, including but not limited to financial auditing, cybersecurity auditing, or consulting services of any type, to the commissioning company in the past twelve months; or

(ii) is, will be, or plans to be engaged in the business of developing or deploying an AI system that can compete commercially with such developer's or deployer's high-risk AI system in the five years following an audit.

(c) Fees paid to auditors may not be contingent on the result of the audit and the commissioning company shall not provide any incentives or bonuses for a positive audit result.

8. The attorney general may promulgate further rules to ensure (a) the independence of auditors under this section, and (b) that teams conducting audits incorporate feedback from communities that may foreseeably be the subject of algorithmic discrimination with respect to the AI system being audited.

9. If a developer or deployer has an audit completed for the purpose of complying with another applicable federal, state, or local law or regulation, and the audit otherwise satisfies all other requirements of this section, such audit shall be deemed to satisfy the requirements of this section.

§ 88. High-risk AI system reporting requirements. 1. Every developer and deployer of a high-risk AI system shall comply with the reporting requirements of this section.

2. Together with each report required to be filed under this section, every developer and deployer shall file with the attorney general a copy of the last completed independent audit required by this article.

3. Developers of high-risk AI systems shall complete and file with the attorney general reports in accordance with this subdivision.

(a) A developer of a high-risk AI system shall complete and file with the attorney general at least:

(i) a first report within six months after completion of development of the high-risk AI system and the initial offering of the high-risk AI system to a deployer for deployment or, if the developer is first deployer to deploy the high-risk AI system, after initial deployment;

(ii) one report annually following the submission of the first report; and

(iii) one report within six months of any substantial change to the high-risk AI system.

(b) A developer report under this section shall include:

(i) a description of the system including:

(A) the uses of the high-risk AI system that the developer intends; and

(B) any explicitly unintended or disallowed uses of the high-risk AI system;

(ii) an overview of how the high-risk AI system was developed;

(iii) an overview of the high-risk AI system's training data; and

(iv) any other information necessary to allow a deployer to:

(A) understand the outputs and monitor the system for compliance with this article; and

(B) fulfill its duties under this article.

4. Deployers of high-risk AI systems shall complete and file with the attorney general reports in accordance with this subdivision.

(a) A deployer of a high-risk AI system shall complete and file with the attorney general at least:

(i) a first report within six months after initial deployment;



1 (ii) a second report within one year following the completion and  
2 filing of the first report;  
3 (iii) one report every two years following the completion and filing  
4 of the second report; and  
5 (iv) one report within six months of any substantial change to the  
6 high-risk AI system.

7 (b) A deployer report under this section shall include:

8 (i) a description of the system including:

9 (A) the deployer's actual, intended, or planned uses of the high-risk  
10 AI system with respect to consequential decisions; and

11 (B) whether the deployer is using the high-risk AI system for any  
12 developer unintended or disallowed uses; and

13 (ii) an impact assessment including:

14 (A) whether the high-risk AI system poses a risk of algorithmic  
15 discrimination and the steps taken to address the risk of algorithmic  
16 discrimination;

17 (B) if the high-risk AI system is or will be monetized, how it is or  
18 is planned to be monetized; and

19 (C) an evaluation of the costs and benefits to consumers and other end  
20 users.

21 (c) A deployer that is also a developer and is required to submit  
22 reports under subdivision three of this section may submit a single  
23 joint report provided it contains the information required in this  
24 subdivision.

25 5. The attorney general shall:

26 (a) promulgate rules for a process whereby developers and deployers  
27 may request redaction of portions of reports required under this section  
28 to ensure that they are not required to disclose sensitive and protected  
29 information; and

30 (b) maintain an online database that is accessible to the general  
31 public with reports, redacted in accordance with this subdivision, and  
32 audits required by this article, which database shall be updated biannu-  
33 ally.

34 6. For high-risk AI systems which are already in deployment at the  
35 time of the effective date of this article, developers and deployers  
36 shall have eighteen months from such effective date to complete and file  
37 the first report and associated independent audit required by this arti-  
38 cle.

39 (a) Each developer of a high-risk AI system shall thereafter file at  
40 least one report annually following the submission of the first report  
41 under this subdivision.

42 (b) Each deployer of a high-risk AI system shall thereafter file at  
43 least one report every two years following the submission of the first  
44 report under this subdivision.

45 § 89. Risk management policy and program. 1. Each developer or deploy-  
46 er of high-risk AI systems shall plan, document, and implement a risk  
47 management policy and program to govern development or deployment, as  
48 applicable, of such high-risk AI system. The risk management policy and  
49 program shall specify and incorporate the principles, processes, and  
50 personnel that the deployer uses to identify, document, and mitigate  
51 known or reasonably foreseeable risks of algorithmic discrimination  
52 covered under subdivision one of section eighty-six of this article. The  
53 risk management policy and program shall be an iterative process  
54 planned, implemented, and regularly and systematically reviewed and  
55 updated over the life cycle of a high-risk AI system, requiring regular,  
56 systematic review and updates, including updates to documentation. A

1 risk management policy and program implemented and maintained pursuant  
2 to this section shall be reasonable considering:

3 (a) The guidance and standards set forth in:

4 (i) version 1.0 of the "Artificial Intelligence Risk Management Frame-  
5 work" published by the National Institute of Standards and Technology in  
6 the United States department of commerce, or

7 (ii) another substantially equivalent framework selected at the  
8 discretion of the attorney general, if such framework was designed to  
9 manage risks associated with AI systems, is nationally or interna-  
10 tionally recognized and consensus-driven, and is at least as stringent  
11 as version 1.0 of the "Artificial Intelligence Risk Management Frame-  
12 work" published by the National Institute of Standards and Technology;

13 (b) The size and complexity of the developer or deployer;

14 (c) The nature, scope, and intended uses of the high-risk AI system  
15 developed or deployed; and

16 (d) The sensitivity and volume of data processed in connection with  
17 the high-risk AI system.

18 2. A risk management policy and program implemented pursuant to subdi-  
19 vision one of this section may cover multiple high-risk AI systems  
20 developed by the same developer or deployed by the same deployer if  
21 sufficient.

22 3. The attorney general may require a developer or a deployer to  
23 disclose the risk management policy and program implemented pursuant to  
24 subdivision one of this section in a form and manner prescribed by the  
25 attorney general. The attorney general may evaluate the risk management  
26 policy and program to ensure compliance with this section.

27 § 89-a. Social scoring AI systems prohibited. No person, partnership,  
28 association or corporation shall develop, deploy, use, or sell an AI  
29 system which evaluates or classifies the trustworthiness of natural  
30 persons over a certain period of time based on their social behavior or  
31 known or predicted personal or personality characteristics, with the  
32 social score leading to any of the following:

33 1. differential treatment of certain natural persons or whole groups  
34 thereof in social contexts which are unrelated to the contexts in which  
35 the data was originally generated or collected;

36 2. differential treatment of certain natural persons or whole groups  
37 thereof that is unjustified or disproportionate to their social behavior  
38 or its gravity; or

39 3. the infringement of any right guaranteed under the United States  
40 constitution, the New York constitution, or state or federal law.

41 § 89-b. Developer safe harbor. A developer may be exempt from its  
42 duties and obligations under sections eighty-six, eighty-six-a, eighty-  
43 six-b, eighty-seven, eighty-eight, and eighty-nine of this article if  
44 such developer:

45 1. receives a written and signed contractual agreement from each  
46 deployer authorized to use the artificial intelligence system developed  
47 by such developer, including the developer if they are also a deployer,  
48 that such artificial intelligence system will not be used as a high-risk  
49 AI system;

50 2. implements reasonable technical safeguards designed to prevent or  
51 detect high-risk AI system use cases or otherwise demonstrates reason-  
52 able steps taken to ensure that any unauthorized deployments of its AI  
53 systems are not being used as a high-risk AI system;

54 3. prominently displays on its website, in marketing materials, and in  
55 all licensing agreements offered to prospective deployers of its AI  
56 system that the AI system cannot be used as a high-risk AI system; and

1 4. maintains records of deployer agreements for a period of not less  
2 than five years.

3 § 89-c. Enforcement. 1. Whenever there shall be a violation of section  
4 eighty-six-a, eighty-six-b, eighty-seven, eighty-eight, eighty-nine, or  
5 eighty-nine-a of this article, an application may be made by the attor-  
6 ney general in the name of the people of the state of New York, to the  
7 supreme court having jurisdiction to issue an injunction, and upon  
8 notice to the respondent of not less than ten days, to enjoin and  
9 restrain the continuance of such violation; and if it shall appear to  
10 the satisfaction of the court that the respondent has, in fact, violated  
11 this article, an injunction may be issued by the court, enjoining and  
12 restraining any further violations, without requiring proof that any  
13 person has, in fact, been injured or damaged thereby. In any such  
14 proceeding, the court may make allowances to the attorney general as  
15 provided in paragraph six of subdivision (a) of section eighty-three  
16 hundred three of the civil practice law and rules, and direct restitu-  
17 tion. Whenever the court shall determine that a violation of this arti-  
18 cle has occurred, the court may impose a civil penalty of not more than  
19 twenty thousand dollars for each violation.

20 2. There shall be a private right of action by plenary proceeding for  
21 any person harmed by any violation of section eighty-six-a,  
22 eighty-six-b, eighty-seven, eighty-eight, eighty-nine, or eighty-nine-a  
23 of this article by any natural person or entity. The court shall award  
24 compensatory damages and legal fees to the prevailing party.

25 3. In evaluating any motion to dismiss a plenary proceeding commenced  
26 pursuant to subdivision two of this section, the court shall presume the  
27 specified AI system was created and/or operated in violation of a speci-  
28 fied law or laws and that such violation caused the harm or harms  
29 alleged.

30 (a) A defendant can rebut presumptions made pursuant to this subdivi-  
31 sion through clear and convincing evidence that the specified AI system  
32 did not cause the harm or harms alleged and/or did not violate the  
33 alleged law or laws. An algorithmic audit can be considered as evidence  
34 in rebutting such presumptions, but the mere existence of such an audit,  
35 without additional evidence, shall not be considered clear and convinc-  
36 ing evidence.

37 (b) With respect to a violation of section eighty-six-a, eighty-six-b,  
38 eighty-seven, eighty-eight, or eighty-nine of this article, a developer  
39 can rebut presumptions made pursuant to this subdivision through clear  
40 and convincing evidence that it has complied with the duties under  
41 section eighty-nine-b of this article.

42 (c) Where such presumptions are not rebutted pursuant to this subdivi-  
43 sion, the action shall not be dismissed.

44 (d) Where such presumptions are rebutted pursuant to this subdivision,  
45 a motion to dismiss an action shall be adjudicated without any consider-  
46 ation of this section.

47 4. The supreme court in the state shall have jurisdiction over any  
48 action, claim, or lawsuit to enforce the provisions of this article.

49 § 89-d. Severability. If any clause, sentence, paragraph, subdivision,  
50 section or part of this article shall be adjudged by any court of compe-  
51 tent jurisdiction to be invalid, such judgment shall not affect, impair,  
52 or invalidate the remainder thereof, but shall be confined in its opera-  
53 tion to the clause, sentence, paragraph, subdivision, section, or part  
54 thereof directly involved in the controversy in which such judgment  
55 shall have been made.

1 § 4. Section 296 of the executive law is amended by adding a new  
2 subdivision 23 to read as follows:

3 23. It shall be an unlawful discriminatory practice under this section  
4 for a deployer or a developer, as such terms are defined in section  
5 eighty-five of the civil rights law, to engage in an unlawful discrimi-  
6 natory practice under section eighty-six of the civil rights law.

7 § 5. This act shall take effect one year after it shall have become a  
8 law; provided, however, that section 87 of article 8-A of the civil  
9 rights law as added by section three of this act shall take effect two  
10 years after it shall have become a law.